

1446(f) Toxic Instrument Screening

Problem

A US partnership interest may trigger withholding risk in client portfolios.

Regulatory Requirements

Section 1446(f), tax suitability.

Options Considered

A: Ignore unless sold. B: Flag toxic instrument. C: Block all US products.

Decision

Flag toxic instrument.

Reasoning

Early identification helps advisors avoid harmful products and withholding surprises.

Risks

Overblocking risk, tax complexity, advisor training need.